

25STCV25586 25STCV25586

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TENTATIVE RULING

DEPARTMENT

415

HEARING DATE

July 29, 2026

CASE NUMBER

25STCV25586

MOTIONS

Demurrer to Complaint;

Motion to Strike Portions of Complaint

MOVING PARTY

Defendant S.E.S. International Express, Inc.

OPPOSING PARTY

Plaintiff

Albatrans, Inc.

MOTION

Plaintiff Albatrans, Inc. ("Plaintiff") brought the instant action against Defendant S.E.S. International Express, Inc. ("Defendant"), alleging Defendant received fraudulent payments from Plaintiff. Defendant demurs to Plaintiff's complaint and moves to strike portions of it. Plaintiff opposes the motions.

ANALYSIS

"It is black letter law that a demurrer tests the legal sufficiency of the allegations in a complaint." (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) In ruling on a demurrer, the court must "liberally construe[]" the allegations of the complaint. (Code Civ. Proc., § 452.) "This rule of liberal construction means that the reviewing court draws inferences favorable to the plaintiff, not the defendant." (Perez v. Golden Empire Transit Dist. (2012) 209 Cal.App.4th 1228, 1238.)

Any party, within the time allowed to respond to a pleading, may serve and file a motion to strike the whole pleading or any part thereof. (Code Civ. Proc., § 435, subd. (b)(1); Cal. Rules of Court, rule 3.1322(b).) On a motion to strike, the court may: (1) strike out any irrelevant, false, or improper matter inserted in any pleading; or (2) strike out all or any part of any pleading not drawn or filed in conformity with the laws of California, a court rule, or an order of the court. (Code Civ. Proc., § 436, subd. (a)-(b); Stafford v. Shultz (1954) 42 Cal.2d 767, 782.)

First and Second Causes of Action:
Conversion and Civil Theft

Money cannot be the subject of a cause of action for conversion unless Plaintiff alleges Defendant converted a specific, identifiable sum. (PCO, Inc. v. Christensen, Miller, Fink, Jacobs, Glaser, Weil & Shapiro, LLP (2007) 150 Cal.App.4th 384, 395, 397.)

In this regard, Plaintiff alleges Defendant received funds from Plaintiff through transfers from Plaintiff's former employee, Defendant Richard Seng ("Seng"), who acted as Defendant's agent, and Defendant ratified and approved of Seng's acts. (Complaint, ¶¶ 5, 15, 20.) Plaintiff also alleges Defendant converted a specific, identifiable sum. (Id., ¶¶ 15, 22.)

The California Supreme Court has criticized generalized allegations as "egregious examples of generic boilerplate" (Moore v. Regents of University of California (1990) 51 Cal.3d 120, 134, fn. 12.) However, "such allegations may be necessary, especially at the outset of a lawsuit, before discovery." (Barsegian v. Kessler & Kessler (2013) 215 Cal.App.4th 446, 451, internal quotations and citations omitted.)

Thus, the Court concludes in this instance the allegations are sufficient to thwart the challenge at this demurrer stage, as Defendant may obtain further information about Plaintiff's claims through discovery. (See, e.g., Lickiss v. Financial Industry Regulatory Authority (2012) 208 Cal.App.4th 1125, 1135 [demurrers based on uncertainty are strictly construed "because ambiguities can reasonably be clarified under modern rules of discovery"].)

The Court overrules the demurrer to the first and second causes of action.

Third and Fourth Causes of Action:
Fraud and Deceit and Constructive Fraud

Plaintiff must allege fraud with particularity. "This means: (1) general pleading of the legal conclusion of fraud is insufficient; and (2) every element of the cause of action for fraud must be alleged in full, factually and specifically, and the policy of liberal construction of pleading will not usually be invoked to sustain a pleading that is defective in any material respect." (Wilhelm v. Pray, Price, Williams & Russell (1986) 186 Cal.App.3d 1324, 1331.) "There are four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the

plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts.” (LiMandri v. Judkins (1997) 52 Cal.App.4th 326, 336, internal quotations and citations omitted.)

In the instant case, Plaintiff alleges Seng transferred funds from Plaintiff to Defendant, while concealing from Plaintiff the funds were not for services Defendant provided. (Complaint, ¶¶ 30-31.) As Plaintiff alleges Seng was Plaintiff’s employee, Seng owed fiduciary duties to Plaintiff. (Civ. Code, § 2322, subd. (c).) Accordingly, Plaintiff adequately alleges Seng is liable for fraud. As set forth above, Plaintiff also alleges Seng acted as Defendant’s agent and, thus, Defendant is liable for Seng’s fraud. (Civ. Code, § 2338.) Accordingly, the demurrer to the third and fourth causes of action is overruled.

Fifth Cause of Action: Money Had and Received

To state a claim for money had and received, Plaintiff must allege Defendant is indebted to Plaintiff in a certain amount for money Defendant received for Plaintiff’s use. (Farmers Ins. Exchange v. Zerlin (1997) 53 Cal. App. 4th 445, 460.) In this regard, Plaintiff alleges Defendant received money from Plaintiff through Seng, money which rightfully belongs to Plaintiff. (Complaint, ¶ 45.) Plaintiff has adequately alleged the cause of action for money had and received. The demurrer as to this claim is overruled.

Eighth Cause of Action: Violation of Business and Professions Code Section 17200

Plaintiff must allege a claim under Business and Professions Code section 17200 “with reasonable particularity” (Khoury v. Maly’s of California, Inc. (1993) 14 Cal.App.4th 612, 619.) Further, a claim under section 17200 must be “tethered to a[] constitutional, statutory or regulatory provision.” (Bardin v. DaimlerChrysler Corp. (2006) 136 Cal.App.4th 1255, 1273.)

Plaintiff alleges

Defendant engaged in “unlawful business practices” (Complaint, ¶ 59.) However, Plaintiff does not allege facts to support this allegation with particularity.

Accordingly, the Court sustains the demurrer to the eighth cause of action with leave to amend.

Motion to Strike

Defendant moves to strike the punitive damages allegations.

In ruling on a motion to strike punitive damages, “judges read allegations of a pleading subject to a motion to strike as a whole, all parts in their context, and assume their truth.” (Clauson v. Superior Court (1998) 67 Cal.App.4th 1253, 1255.) To state a prima facie claim for punitive damages, a plaintiff must allege the elements set forth in the punitive damages statute, Civil Code section 3294. (College Hospital, Inc. v. Superior Court (1994) 8 Cal.4th 704, 721 (College Hospital).) Pursuant to Civil Code section 3294, subdivision (a), a plaintiff must allege the defendant has been guilty of oppression, fraud or malice. “The mere allegation an intentional tort was committed is not sufficient to warrant an award of punitive damages. Not only must there be circumstances of oppression, fraud or malice, but facts must be alleged in the pleading to support such a claim.” (Grieves v. Superior Ct. (1984) 157 Cal.App.3d 159, 166, internal citations and footnotes omitted.)

As set forth above, Plaintiff adequately alleges Defendant, through its agent Seng, defrauded Plaintiff. These allegations are of fraudulent conduct within the meaning of Civil Code section 3294. Therefore, the Court concludes Plaintiff has alleged facts to support a claim for punitive damages, and the motion to strike the related allegations is denied.

Defendant also moves to strike the prayer for attorney fees. As Defendant concedes, Plaintiff may base a claim for attorney fees on Plaintiff’s cause of action for civil theft. (Motion to Strike, p. 3.) Because Plaintiff adequately alleges that cause of action, its prayer for attorney fees

suffices for pleading purposes.

CONCLUSION AND ORDER

Defendant's

demurrer to the eighth cause of action is sustained with leave to amend. Defendant's demurrer is otherwise overruled. Plaintiff is to file an amended complaint within 20 days of notice of this order.

Defendant's motion

to strike is denied.

Defendant is

ordered to provide notice of the Court's ruling and to file proof of service of same.